CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE Z

Measure Z asks the electorate of the City of Benicia ("City") to consider the adoption of the City of Benicia Real Property Transfer Tax Ordinance ("Ordinance"). A companion measure, Measure Y, is also being presented on the November 3, 2026, ballot. Measure Y, if approved, would adopt the City of Benicia Charter which gives the City new power over municipal affairs to enact a system for the imposition, levy and collection of a real property transfer tax. The adoption of the Charter is legally necessary to allow the City to enact a real property transfer tax which is a tax imposed when real property is sold. Measure Z can only be approved if the voters approve Measure Y.

Because this measure does not legally restrict the use of tax revenue to any specific purposes, it is classified as a "general tax," not a "special tax." As a general tax, the funds would go to the City's general fund, and be used for any valid municipal government purpose including roads, infrastructure, facilities, Police, Fire, and other City services.

The City is currently a general law city, governed by the laws of the State of California relating to general law cities. One of those general laws, California Revenue and Taxation Code Section 11911, authorized the City's current real property transfer tax rate of $0.275 for each $500.00 or fractional part of $500.00. If Measure Y passes, the City will have the authority to impose a real property transfer tax that exceeds the tax rates in the City's current ordinance, conditioned on Measure Z also passing.

If adopted, the Ordinance would establish a new local tax on the conveyance of real property as follows:

- Sales $2,000,000 or less: $4 per $1000
- Sales over $2,000,000 and up to $10,000,000: $6 per $1,000
- Sales over $10,000,000: $8 per $1,000

The Ordinance contains certain exemptions, including sales of residential homes built before January 1, 2027 and that sells for $2,000,000 or less. The Ordinance further allows buyers and sellers to negotiate among themselves as to who pays the tax.

The tax is estimated to generate approximately $230,000 annually, growing to between $3.3 million and $3.8 million by 2050.

A "yes" vote on Measure Z adopts the Ordinance. A "no" vote on Measure Z rejects the Ordinance; however, the current tax authorized by California Revenue and Taxation Code Section 11911 would remain in effect. Measure Z will be adopted and the Ordinance will become effective only if both Measure Y and Z are approved by a majority vote.

Measure Z was placed on the ballot by the City Council of the City of Benicia.

Submitted August 11, 2026.

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